Chapter 10 COMPANY AUDIT

(As per Provisions of the Companies Act, 2013)

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Learning Objectives

- To understand the meaning, elements and types of audit report.
- To analyse the procedure for conducting share capital audit.
- To discuss duties of an auditor regarding issue of initial public offer (IPO)
- To discuss duties of an auditor regarding issue of shares for other than cash consideration.
- To review the duties of an auditor when shares issued at premium or sweat equity.

POINTS TO RECALL

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From the previous chapter we have studied the qualifications and disqualifications of an auditor, removal and resignation of an auditor, rights and powers of an auditor, duties of auditor, and liabilities of auditor.

10.1 Audit Report

Audit report is the final stage of audit process. The results of the audit are communicated through audit report. Audit report is the written opinion of an auditor regarding companies financial statements. Audit report is a document prepared by an auditor to certify the financial position and accounting records of a firm.

10.1.1 Meaning of Audit Report

Audit report is the statement included in the financial statements. It contains the opinion of the auditor in financial statements. The auditor reports to the shareholders who have appointed him. He has to provide his opinion on the truth and fairness of financial statements. Thus, the auditor protects the interest of shareholders through audit report.

10.1.2 Definition of Audit Report

- **Lancaster** has defined a report as "a report is a statement of collected and considered facts, so drawn up as to give clear and concise information to persons who are not already in possession of the full facts of subject matter of the report."
- According to Cambridge Business English Dictionary, Audit report is defined as a formal document that states an auditor's judgment of a company's accounts.

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